



One Nation | One Association

FEDERATION OF AUTOMOBILE DEALERS ASSOCIATIONS

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FOR IMMEDIATE RELEASE

F A D A releases January'19 Vehicle Registration Data

- *As predicted in our last update, healthy inquiry of last 2 months finally showed signs of good conversion, which returned some positivity to the PV segment*
- *Monthly Passenger Vehicle Registration shows a more than expected spike in sales (MoM) due to the extended stock clearance sale coupled with New Model launches resulting into faint signs of positive sentiment restoration*
- *Despite good PV retails current outlook for PV still remains cautiously optimistic and 2W and CV Retails still under pressure*
- *2-Wheeler Dealers Inventory still a cause of Serious Concern. Inventory Levels of PV and CV, though not optimal, stand at reasonable levels*

7th January'19, New Delhi: The Federation of Automobile Dealers Associations (F A D A) today released the Monthly Vehicle Registration Data for the month of January'19.

Commenting on the January numbers, F A D A President, Mr Ashish Harsharaj Kale said, **"As predicted, healthy inquiry levels seen in December finally showed signs of conversions with the Year End offers continuing in January, especially by Passenger Vehicle OEMs which has helped the customer in making the final purchase.**

Consumers interest, which had remained buoyant has slowly but surely started converting to sales in better percentages. Overall Positivity compared to the previous months backed by good retail offerings has helped PV car sales. New Launches in the month also added to the overall excitement and got the attention of the buyer.

Although all the sectors on a monthly basis have shown signs of positive growth, 2W growth rates are not at a healthy high and are seen positive due to a huge de-growth in December. CV growth is flat and has substantially dropped from the high growth rate it had maintained through year to date.

Going forward, F A D A is hopeful of uptick in retail vehicle sales as Interim Budget announcement of new tax rebate for individuals of income up to Rs. 5 Lakhs and assured income to farmers should bring in positive customer sentiment as potential customers sitting on the fence will have increased disposable income. This will hopefully pull up the demand for 2W, Light CV's and Tractors.

This coupled with Government's focus on rural roads with an allocation of Rs. 19,000 crores under Pradhan Mantri Gram Sadak Yojna will definitely have a rub off effect on sales uptick for Construction Equipments & Vehicles as well as Tractor used for commercial applications.

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F A D A would like to highlight that the Inventory of 2W Dealers still continues to be Very High, as 2W retails are still under pressure and we hope that 2W OEMs will take a realistic stock of the situation prevailing on the ground and reduce wholesale billing.

On this initiative of releasing registration numbers by F A D A, Mr Kale said, "Beginning next month, we will release category wise comparison figures from both monthly and yearly perspective."

According to a survey conducted by F A D A among its members, the current inventory levels are as following:

- PVs ranges from 30-35 days
- 2W ranges from 50-60 days
- CV ranges from 30-35 days

Our study shows that for the month of January and on MoM basis:

- 2W was up by **+4.25%**
- 3W was up by **+11.86%**
- CV was up by **+0.04%**
- PV was up by **+33.97%**

A Chart with comparisons can be found below:

Categories	Dec'18	Jan'19	MoM Change (%)
2W	11,41,209	11,89,679	4.25%
3W	45,008	50,344	11.86%
CV	53,712	53,732	0.04%
PV	2,02,585	2,71,395	33.97%
Total	14,42,514	15,65,150	8.50%

Source: F A D A Research

Disclaimer: Vehicle Registration Data has been collated in collaboration with Ministry of Road Transport & Highways, Government of India and has been gathered from 1,081 out of 1,437 RTOs.

----- End of Press Release -----

About F A D A India

Founded in 1964, Federation of Automobile Dealers Associations (F A D A), is the apex national body of automobile retail industry in India engaged in the sale, service and spares of 2/3 Wheelers, Passenger Cars, UVs, Commercial Vehicles (including buses and trucks) and Tractors. F A D A India represents over 15,000 automobile dealers having 25,000 dealerships including 30 Associations of Automobile Dealers at the Regional, State and City levels accounting for 90% of market share in India. Together we employ over 2.5 million direct employees and another 2.5 million as indirect employees, making it a total of ~5 million people in the country at dealerships and service centres.

F A D A India, at the same time also actively networks with the industries and the authorities, both at the Central & State levels to provide its inputs and suggestions on the Auto Policy, Taxation, Vehicle Registration Procedure, Road Safety and Clean Environment, etc. to sustain the growth of the Automobile Retail Trade in India.